

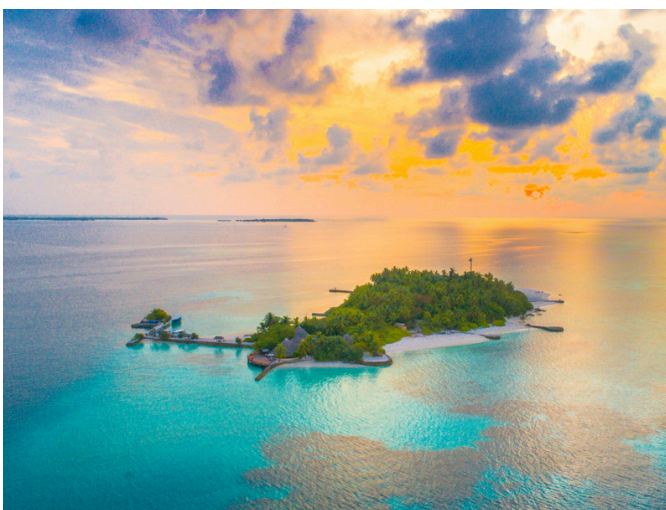
Team

07.

Exploring Alternative Risk Solutions – A Captive Insurance Approach in the Cayman Islands

With premiums climbing and cyber risks accelerating, is it time for CIBC to turn to captive insurance?

Rising volatility in the risk industry has led CIBC to explore whether self-insurance could offer a more resilient path forward.



This HALLvVE project examines the feasibility of CIBC establishing a captive insurance subsidiary in the Cayman Islands, a leading domicile known for its tax neutrality. A captive insurance company is a subsidiary created by a parent organization to insure its own risks, thus helping CIBC retain premiums, tailor coverage for complex exposures like cyber threats, and achieve long-term savings.

Methods

Step 1: Research industry practices and the regulatory landscape

The team looked at how captive insurance works, why Cayman might be a good domicile, best industry practices, and what Canadian rules might apply.

Step 2: Estimated costs

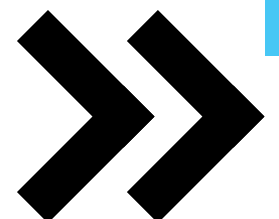
The team calculated potential setup and annual operating costs using public benchmarks and fee schedules.

Step 3: Develop insights & recommendations

A collaborative project with:



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How Captive Insurance Works

1. Captive creation

CIBC establishes a licensed insurance subsidiary (ie. in the Cayman Islands) to insure its own risks.

2. Premium payment

Instead of paying all premiums to outside insurers, CIBC pays them into the captive.

3. Fund holding

The funds paid into the captive is used to cover losses, buy reinsurance for major risks, and keep any savings in-house.

Insights

1. Choosing the right domicile is critical. **The Cayman Islands ranks as a top global domicile for captive insurance** due to its tax neutrality, stable regulatory environment, and extensive expertise in managing captive insurance structures.
2. A CIBC captive would cost about USD 155K to set up and USD 165K annually, plus would require USD 1–10M in operating capital, yet could **yield multimillion-dollar savings by retaining premiums and insurer profits.**
3. The Office of the Superintendent of Financial Institutions (OSFI), Canada's federal banking regulator, will have to oversee CIBC's Cayman-based captive from Canada to **ensure compliance** with Canadian rules on capital, governance, and transactions.

Next steps?

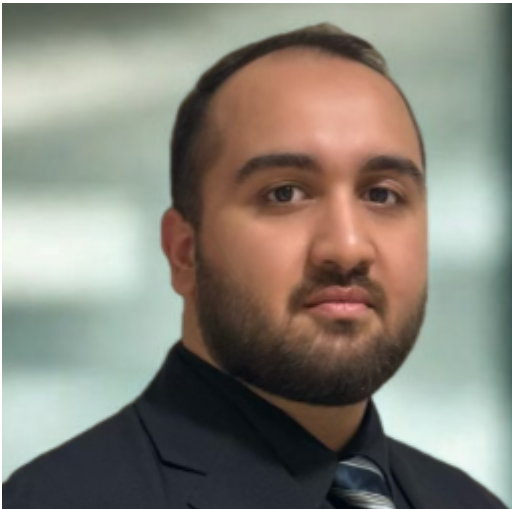
This research was limited by reliance on public data, which means future studies would benefit from usage of CIBC's internal data to support more detailed actuarial modeling, assessment of optimal risk retention, and evaluation of cost, capital, and regulatory impacts.

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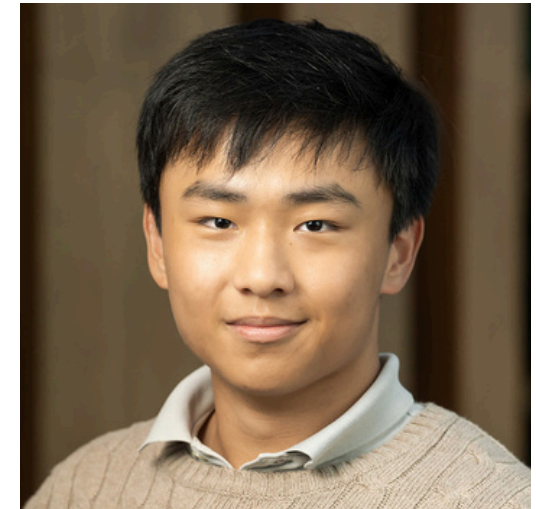
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